CAPITAL INVESTMENTS

Learning Outcome

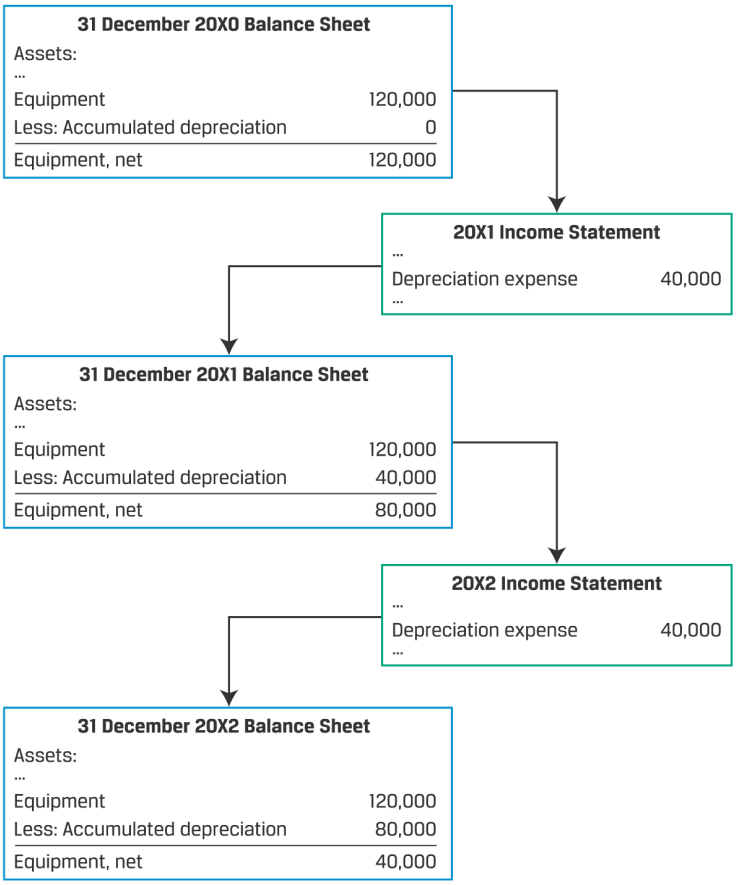
- describe types of capital investments

Capital investments, also referred to as *capital projects*, are investments with a life of one year or longer, which usually appear on the balance sheet as long-term assets. Like most assets, capital investments are initially recorded at cost. The expenditure is not recorded on the income statement; rather, a portion of the cost is recorded on the income statement periodically as a non-cash **depreciation** or **amortization** expense over the asset's useful life. The result is that capital spending is "smoothed" over time and aligned with the inflow of benefits from the investment. On the statement of cash flows, cash capital spending is simply reported as incurred.

In subsequent periods, capital investment assets are presented on the balance sheet on a *net* basis: cost less accumulated depreciation or amortization. As depreciation or amortization is recorded over time and accumulates, this net value declines to zero or a salvage value. The process is illustrated in Exhibit 1 and will be covered in greater detail later in the curriculum.

Exhibit 1:

Depreciation/Amortization of a Long-Term Asset



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best, providing insight into both the quality of management decisions and how the company creates value. Note that capital investments are not limited to property, equipment, and other tangible assets; increasingly, capital investments are in the form of digital capabilities and other intangible assets. Regardless of the nature of the asset, the principles in this learning module apply because we are focused on cash flows.

Four categories of capital investments and their potential uses are summarized in Exhibit 2. These investments usually link to the business model of the firm and reflect its strategic and competitive environment.

Exhibit 2:

Types of Capital Projects

Maintain Business	Grow Business
Going Concern (Maintenance) ▪ Continue current operations ▪ Improve efficiency ▪ Risk management	**Expansion of Existing Business** ▪ Expand business size ▪ Expand business scope ▪ Research and development and acquisitions within core business ▪ Low to moderate risk
Regulatory/Compliance ▪ Usually imposed by a third party, laws, etc. ▪ Needed to meet safety, compliance, regulatory or supervisory standards	**New Lines of Business and Other** ▪ Research and development, investments, and acquisitions outside the firm's current business ▪ Often high risk

Going Concern Projects

Going concern projects, often known as **maintenance capital expenditures**, are investments to continue the company's current operations and maintain the existing size of the business. Common going concern projects include replacing assets nearing the end of their useful life, maintaining IT hardware and software, and continuous improvements of existing facilities. For example, a company might replace data center cooling units with newer, more efficient alternatives.

These maintenance projects are relatively easy for management to evaluate since they usually involve the replication of existing business operations. Projects aimed at improving efficiencies typically involve comparing the upfront cost to the expected periodic savings over time in the context of current operations. Typically, these projects are lower risk.

To fund these projects, managers (and debt investors who provide the financing) usually seek to match the term of incremental financing with the lifespan of new assets. For example, a utility company may issue a 30-year bond to finance replacement power generation equipment with an expected useful life of 30 years. This so-called **match funding** approach reduces financing risk, because funding long-term assets with shorter debt obligations introduces rollover risk, or uncertain financing cost or availability during the project before the capital investment reaches the end of its useful life. Similarly, a company that borrows for longer than necessary may either pay a higher long-term rate of interest or face the cost of buying back debt in the future that is no longer needed.

Issuers are not required to disclose the amount of maintenance capital expenditures or the composition of total capital expenditures generally. Analysts often estimate that annual maintenance capital expenditure is equal to the amount of depreciation and amortization

the historical cost of an asset approximates its replacement cost; both assumptions are likely to be more accurate for shorter-lived assets.

Regulatory Compliance Projects

Unlike projects based on management discretion, regulatory compliance projects are required to meet rules and standards. For example, such projects may be driven by a new law to reduce pollution or financial regulations requiring banks to monitor and report transactions and balances to regulators.

Regulatory compliance projects often increase a firm's expenses with no added revenue but are required to avoid fines and/or to continue operations. However, industry incumbents may find that such rules and standards serve as a barrier to industry entry and therefore increase or protect their profitability. Also, when firms work directly with regulators to develop these new standards, their timing and impact may be tailored to best suit an industry's ability to adapt while continuing operations. Firms with greater financial flexibility may consider early adoption of new rules to reduce business uncertainty going forward and gain a competitive edge versus their peers. Moreover, such investments can attract new customers and are often considered to create a strategic advantage.

As standards evolve, firms must decide whether the returns on an underlying business remain attractive once additional regulatory costs are imposed. In some cases, firms may be able to pass some or all of the additional regulatory costs from these projects on to end users in the form of higher prices. In other cases, a firm may decide that a business no longer meets its minimum return requirement (once the costs of such projects are included) and it would be better off winding down or ceasing certain affected operations altogether.

EXAMPLE 1

Complying with Anti-Money-Laundering Regulations

Danske Bank A/S ("Danske"), the largest financial institution in Denmark, is subject to a large anti-money-laundering investigation after a report from a whistle blower and audit letters from Group Internal Audit. Danske acknowledged in a press release that "*major deficiencies in controls and governance made it possible to use Danske Bank's branch in Estonia for criminal activities, such as money laundering.*"

The examination of Danske's anti-money-laundering policies resulted in the resignation of its CEO, the closure of the Estonian branch, and the arrests of multiple employees. Danske is also expected to pay fines of up to several billion dollars to financial regulators in the United States, Denmark, and other European countries. The scandal not only had an impact on Danske but also resulted in increasing penalties for money laundering in Denmark.

While regulatory compliance projects can be costly, they can prevent scandals and losses from fines and legal proceedings that damage firms' reputations.

Businesses seeking to grow often engage in capital projects to increase the *scale* of existing business activities, expand their *scope* to new areas of operation, or enter new areas. These expansion projects typically involve greater uncertainty, time, and amounts of capital than going concern or regulatory compliance projects.

Expansion of Existing Business

Capital projects aimed at increasing the size of a firm's existing operations may introduce execution risks, such as sourcing additional inputs, addressing unforeseen production and distribution bottlenecks, or failing to budget for the cost of acquiring new customers. These risks are highest among firms in an early phase without established operations whose expansion projects are therefore usually largely financed by equity. More established firms

medications and energy reserves, respectively. Similarly, technology companies typically invest heavily in expansion projects initially to accelerate product development cycles, maintain competitiveness, acquire customers and clients, and stay ahead of rivals. Established firms with an existing track record of successful expansion are more often able to use debt financing for such capital projects given investor perception of lower associated risk.

Capital investments are also usually necessary if an established firm decides to extend its existing operations to adjacent products and services or expand to new regions or markets. The expansion of business scope may take advantage of existing capabilities to meet the needs of a different customer base. Unforeseen risks related to increasing scope include the added complexity of managing multiple business lines and facing new competitors. Investors and analysts often look to a firm's competitive position and past performance by peers in executing similar strategies when gauging the likelihood of success.

EXAMPLE 2

Sony Grows Gaming Business

Sony Interactive Entertainment ("SIE") is a global, leading video game and digital entertainment company owned by Japanese multinational conglomerate Sony. SIE conducts the research and development, production, and sales of both hardware and software for the PlayStation console.

In January 2022, SIE announced it would acquire Bungie Inc. ("Bungie") for $3.6 billion. Bungie is a US-based independent videogame developer and long-time partner of SIE that has created some of the videogame industry's most highly acclaimed franchises, including Halo, Myth, and Destiny.

In the press release, SIE summarized how the acquisition would expand its business: "This acquisition will give SIE access to Bungie's world-class approach to live game services and technology expertise, furthering SIE's vision to reach billions of players."

New Lines of Business and Other Projects

A firm's management may decide to invest in an activity completely outside or only minimally related to its existing business. Usually seen as a special situation offering unusual growth, investment, or innovation opportunities for a company's business or business model, these projects are likely to be the riskiest capital investments.

Either these projects will have characteristics of a startup, such as investing capital to explore a new technology or a business idea/model for sources of new business growth, or the company will acquire a firm in a new industry or sector. Important risks include the unforeseen challenges of an unfamiliar business and the risk of overpaying.

EXAMPLE 3

Kirin Enters New Market

Kirin Holding ("Kirin") is an integrated beverage producer and the second largest brewer in Japan. Kirin's top brands include both alcoholic beverages, such as Kirin Ichiban and Honkirin, and soft drinks, such as Kirin Gogo-no-Kocha and Nama-cha.

In September 2019, Kirin invested ¥129 billion to become a top shareholder of Fancl Corp. ("Fancl"), a Japanese cosmetics and dietary supplement maker. Fancl has more than 25 years of experience as a pioneer in the supplement market and is a market leader in foods with functional claims. Both companies want to combine their

Analysts should carefully examine issuers' overall level and trend of expansion capital investment, as well as the segment and market if disclosed, to analyze growth prospects, management priorities, and the rates of return on investment relative to alternatives. The level and trend of expansion capital spending may be estimated by subtracting maintenance (often estimated using depreciation and amortization expense) from total capital expenditures.

Question Set

1. Match the following examples of capital projects with type of the project.

- Project 1: An office equipment producer decides to develop a new line of computer peripherals intended for gamers.
- Project 2: A tire producer decides to invest in solar panel production to benefit from government subsidies.
- Project 3: A global bank migrates its on-site data storage to cloud computing data storage to improve its cost efficiency.
- Project 4: A property management company undertakes a new capital project intended to install an advanced ventilation system in all its office buildings to meet stricter air pollution regulations.

Project Type	Capital Project
Expansion of existing business	
Going concern/maintenance	
Regulatory or compliance	
New lines of business and other	

Hide Solution

Solution:

Project Type	Capital Project
Expansion of existing business	Project 1, because it aims to increase the size of a firm's existing operations and acquire new customers
Going concern/maintenance	Project 3, which allows the bank to continue its current operations using more efficient technology
Regulatory or compliance	Project 4, because unlike projects based on management discretion, this project is to comply with air pollution regulations.
New lines of business and other	Project 2, which is an investment into a new market not related to the company's existing business

2. It is true that the capital allocation process:

A. involves the use of significant proprietary, non-public information about a company.
B. aims at identifying projects with the highest absolute non-risk-adjusted rate of returns.
C. uses less information compared to the process used to construct investment management portfolios.

Hide Solution

Solution:

non-public *and* public information. The process is substantially similar to those used by investors and analysts constructing investment management portfolios but occurs at a more granular level of detail and more in "real time" because insiders do not need to wait for quarterly earnings reports.

B is incorrect because the capital allocation process is used by a firm's management to deliver superior risk-adjusted returns, when compared to similarly risky investments.

C is incorrect because the capital allocation process is more granular compared to the process used to construct investment management portfolios. The capital allocation process focuses on identifying profitable projects and utilizes proprietary information. The process used to construct investment portfolios involves public information and non-material, non-public information, often at the company and segment level.

3. What type of capital allocation project will *most likely* be implemented even if it has a negative estimated NPV?

A. New lines of business and other
B. Expansion of existing business
C. Regulatory or compliance

Hide Solution

Solution:

C is correct. Regulatory compliance projects are required by third parties, such as government regulatory bodies, to meet rules and standards and to avoid fines or other legal consequences.

A and B are incorrect because new lines of business and other as well as expansion of existing business projects are done at management's discretion and would generally not be pursued if they were estimated to have a negative NPV.

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Discussion

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